

at fifteen to one. This analysis is confirmed by the observation that bets on long shots are most popular on the last race of the day.

The same thing happens to stock investors who have a loss on a stock. Unable to face the reality of what the stock is now actually worth, the unlucky owner is willing to take a sucker bet by holding on to the stock, even when he knows the company's in trouble, in the wild hope of a comeback that will erase his loss. The stock market is not a racetrack, but we do know that investors behave differently in bull and bear markets, and framing theory helps explain part of the difference.

In recent years academic studies of financial behavior—and, more specifically, investor behavior—have proliferated. In April 1995, for example, the financial analysts' professional organization, the Association of Investment Management and Research (AIMR), sponsored a conference titled "Behavioral Finance and Decision Theory in Investment Management." Half a dozen researchers (Tversky, who died about a year later, among them) presented papers. In May 1996, at Harvard, money managers mixed with academics for a two-day seminar on "behavioral economics." One message of this latter meeting was that people get carried away by, and pay too much for, glamorous growth stocks; this led to several endorsements of value investing as a superior strategy.

The more recent studies only confirm the original conclusion, that investors—like all humans—react to situations in ways that are not totally rational or even necessarily in their own best interest, contrary to what classical economics had assumed. Investors must consider economic and corporate events, of course, but much that moves markets and individual stocks extends beyond interest rates and earnings per share. The efficient-market hypothesis largely depends on the thesis that investors react to new information in a rational way. The psychologists' challenge of that assumption has bolstered the claim investment professionals have made for years: investors assess information emotionally, creating price distortions that the astute and nimble can exploit.